



Notification Waiver Determination

Imagine Education – childcare centres ownership restructure

Acquisition	Waterworks Education Group Pty Ltd (WEG) applied for a notification waiver in respect of the proposed ownership restructure between the existing part-owners of 35 childcare centres that form part of the Imagine Education group and operate through 34 unit trusts (Sub-Trusts), as described in the transaction documents provided as part of the application (the Acquisition). The Acquisition has two stages. 1. In the first stage, 4 Sub-Trusts (AH Sub-Trusts) propose to acquire all of the units they do not already hold in 4 unit trusts through which 4 of the childcare centres are operated (AH Sub-Sub-Trusts). In exchange, the AH Sub-Trusts propose to issue the current holders of those units with new units in the AH Sub-Trusts. As a result, Imagine Education Investments Trust (Head Trust) would increase its unitholding in 2 AH Sub-Trusts. 2. In the second stage, Head Trust proposes to acquire all of the units that it does not already hold in each of the Sub-Trusts from the current holders of those units (Vendors), in exchange for Head Trustee issuing the Vendors with new units in Head Trust. As a result, WEG's interest in Head Trust would be diluted but it would acquire an interest in the units in the Sub-Trusts to be acquired by Head Trust.
Determination	The Australian Competition and Consumer Commission has determined under section 51ABV(1)(a) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition is not required to be notified.
Date of determination	22 June 2026

Parties to the Acquisition	The restructure relates to childcare centres that form part of the Imagine Education group. These centres provide centre based child care and early childhood education services (long day care) for children aged approximately 0–6 years, and ancillary services associated with the operation of childcare centres (for example, meals and incidental educational programmes). Currently, Head Trust holds a proportion of the units in most of the Sub-Trusts and all of the units in Head Trust are owned by WEG. The current trustee of Head Trust is Imagine Education Investments Pty Ltd. Prior to the Acquisition, Polar 993 Limited (Head Trustee) will be appointed as the new trustee of Head Trust.
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Explanation for determination	In making this notification waiver determination, the Australian Competition and Consumer Commission (the ACCC) has considered the information provided with the notification waiver application and had regard to the factors in section 51ABV(2)(b) of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). Based on the information provided in the application, the ACCC considers that the Acquisition is unlikely to give rise to any material lessening of competition. In particular, there is no horizontal consolidation, removal of a competitor, or change to Imagine Education group’s competitive position as a result of the Acquisition. In these circumstances, the ACCC does not consider it necessary to reach a concluded view on the likelihood of the notification thresholds being met. Given that material competition concerns are unlikely to arise, the ACCC has determined that the Acquisition is not required to be notified. The ACCC also considered the potential application of section 51ABD of the Act. However, the applicant submits that the Acquisition does not fall within that provision and, having regard to the particular circumstances, including the consequences of non-notification in reliance on the exemption if it was found not to apply, the ACCC considered it appropriate to make a determination on the basis that the acquisition provisions in the Act apply to the Acquisition. The ACCC considers that the determination is consistent with the object of the Act and the interests of consumers in promoting competition. For more information about the ACCC’s approach to considering notification waiver applications and to assessing competition effects more generally, see the ACCC’s interim guidance on notification waivers and merger assessment guidelines.
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Determination made by Commissioner Woodward pursuant to a delegation under section 25(1) of the Act